NOIDA

HARJEEV SINGH CHAWLA, 38

Partner, AVH Associated

Raw Material Woes



Business had barely begun picking up two years after the pandemic when the spiralling cost of raw materials dealt another blow to Chawla's company, which designs, manufactures and exports decorative home textiles to 70 countries. "In the past year or so, we have seen an 80 per cent increase in cotton prices," he says. "Even suppliers say they have not seen such a quick rise in prices. You will get a kilo of cotton for Rs 300 one day and Rs 320 the next."

Dealing a double whammy is the disruption in raw material supplies from China owing to the country's zero Covid policy. Citing an example, Chawla says while dyed nylon thread is made in India, the raw material comes from China. It has killed any hope he had of cashing in on the anti-China sentiment following the Galwan standoff. The war in Ukraine has aggravated several pain points—from logistics to packaging to cost of polyester fibre—costs for all have escalated by 80-100 per cent in the previous quarter. To tide through the crisis, Chawla is taking a massive cut on margins; and increasing the prices of his products by 7-10 per cent. But that is leaving his customers unsure. "They have cut down orders by half," Chawla laments. It's a lose-lose situation.

– Shwweta Punj

ernor, said during the post-policy interaction with the media.

A concrete step the RBI did take in the recent policy review was to restore the policy rate corridor under the liquidity adjustment facility (LAF) to pre-pandemic levels. LAF is a tool the RBI uses that allows banks to borrow money through repurchase agreements or to give loans to the RBI through reverse repo agreements. "The RBI has thus signalled shifting focus from reviving growth to mitigating inflation risks," says D.K. Joshi, chief economist with Crisil. The agency expects repo rates to go up by 50-75 basis points in FY23.

Others argue that there is not much governments can do when it comes to "imported inflation", which is slated to remain high as economies spring back to normalcy after two years of Covid while uncertainties over the Ukraine war persist. What the government can do is to ease supply bottlenecks or extend succour to households and manufacturers to tide over the period of high prices. MSME players, for instance, are asking for income tax sops and GST reduction. The Centre as well as the states can reduce the excise duties on fuel, so that the public does not bear the entire burden of high crude prices. Increasing MSP and keeping fertiliser prices in check can help farmers ease the food price shock. Many expect the free food scheme to continue and food subsidy to exceed budget estimates. To control food prices, the government could look at open market sales of FCI's (Food Corporation of India) stock of wheat and rice—both much above buffer norms. This could reduce the pressure from higher MSP to retail food prices and lower the cost of storing large amounts of stock. It could also consider a price stabilisation scheme if the food price shock spreads beyond cereals, give agricultural exports, particularly wheat exports, a push to take advantage of the elevated global prices.

Srivastava believes the government's tax finances have done well and the trend is likely to continue into the current fiscal. "The government has the fiscal space to accommodate reduction in excise duties and state governments have the scope to reduce VAT on their petroleum products. This would have a positive impact on consumer budgets and consumption expenditure would go up," he says. Nilesh Shah, managing director of Kotak Mahindra Asset Management Co, says the focus should be on increasing productivity. "If we manage the supply side, it will be transitory inflation," he says. India also needs to press its case with the US to allow it to buy discounted oil from Russia and Iran, he adds. If Russian and Venezuelan oil comes to the Indian market, it could ease things up. But India also has to be prepared for the worst—a scenario where the war continues, the oil does not come to the market and crude touches $200 a barrel.

On April 12, the war in Ukraine entered its 47th day, scarcely the swift operation Putin had hoped for. As the cloud of uncertainty loomed over global markets, it cast a shadow on India as well, threatening to undo all its inflation assessments. India must think ahead and plan for the worst so that the country and its people can escape a prolonged inflation coma. ■